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How to read our proprietary smart algorithm candles:



Trade Whisperer

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Rule of thumb 1: Always Do Your Due Diligence

Research and understand what you are buying. For example, if you are buying \$CMG (Chipotle), ask yourself -- why should anyone care about their tacos and burritos? What's so exciting about them? Defend your thesis. Then, interpret the blue candles through the lens of your thesis. Due diligence finds the name. The Blue-Green candles validates the thesis and helps you time the entry.

Rule of thumb 2: Understand the momentum

Monthly momentum typically outweighs everything else. Weekly momentum typically outweighs daily candles and short-term intentions. It's wise to stay far away from a fierce Stage 4 (Markdown Phase). Here's a great example: [LINK](#)

Before you jump into a name showing a long string of red monthly or weekly candles, ask yourself one simple question: "What do I know that the **entire market** doesn't?" Never fight a monster trend unless you have real, differentiated insight.

Rule of thumb 3: Scale in and scale out of positions

Scaling dramatically improves risk management, reduces emotional stress, and maximizes flexibility in unpredictable markets. It allows you to:

- Add to winners gradually as conviction builds

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- Trim or exit in pieces to protect profits
- Navigate sudden randomness (Trump/Elon tweets) and psychological pressure far more effectively

Lastly, match every trade or investment to your personal risk tolerance and psychology. Never chase highly volatile or speculative stocks IF you're not emotionally and financially prepared for sharp swings.

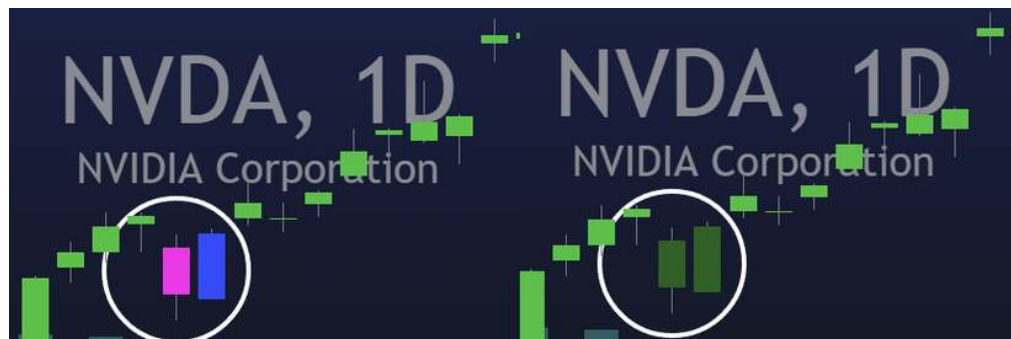
Smart Candle Colors:

Blue Candle = Potential Start of a **Bullish** Trend
Green Candle = Continuation of a **Bullish** Trend
Pink Candle = Potential Start of a **Bearish** Trend
Red Candle = Continuation of a **Bearish** Trend
Yellowish Green Candle = Optional Candle for Trimming

Examples:

Blue -> Green: Start of a bullish trend is confirmed (Adds More Probability)
Pink -> Red: Start of a bearish trend is confirmed (Adds More Probability)
Blue -> Pink: Cancels each other out and become DARK RED candles
Pink -> Blue: Cancels each other out and become DARK GREEN candles
Blue-> Pink -> Blue -> Pink: These are times of indecision and consolidations, aka "Exchange of Hands."

Dark Green Candles Example:



We are data scientists. We built these Smart Candles around a proprietary adaptive statistical model that reacts to macro regime shifts and continuously improves through data-learning feedback loops.

What do Dark Green and Dark Red candles mean?

Dark Green and Dark Red candles indicate consolidation before the next move, or an early sign of weakness. The market is indecisive at these levels. Bears and bulls are exchanging hands, signaling a pause, whether that lasts a couple days or the full week. Use that window to decide: trim, hold, or add.

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Previous and most recent dark candle behaviors for each symbol can give you some edge. TSM's Dark Green appeared 4 times between May–Sep 2024, and 3 of those resolved lower. DUOL's Dark Green appeared 3 times between Jun–Oct, and all 3 continued higher.

One important caveat: on lower timeframes (daily), these can print as false moves. If the weekly or monthly is showing a series of red candles in a steep downtrend, the higher timeframe dominates, and the daily blue candles signal can get invalidated.

As the creator of the system, this is how I would approach it:

BLUE or PINK → Validate → Decide.

You have three increasingly aggressive options:

1. Wait for confirmation: BLUE → GREEN or PINK → RED stack
2. BLUE → Validate during next Intraday (positive price action)
3. BLUE → Enter during After-Hours on the same-day signal

It all comes down to the risk/reward profile you are comfortable with.

Suggestions, Strategies and Personal Examples

Which candle should I use for BLUE/PINK: daily or weekly?

Generally speaking, weekly candles for long term investors and daily candles for short term traders. The real edge comes from combining both for scaling in and out of positions.

Example scaling strategy:

1/5 on Daily BLUE

1/5 on Daily BLUE GREEN

1/5 on Weekly BLUE

1/5 on Weekly BLUE GREEN

1/5 on Monthly BLUE

You can structure it as 1/3 or 1/4 depending on your risk tolerance and conviction level.

The key is letting confirmation stack across timeframes before sizing up.

My approach: for high conviction names like \$MU, \$RKLB, and \$PLTR I start with daily BLUE candles. For names I am less certain about I wait for the weekly BLUE. For explosive but lower conviction names like \$RCAT I use daily candles to avoid missing the initial move. Higher risk, higher opportunity.

When to sell or trim?

That decision is entirely yours. It depends on your goals, risk tolerance, time horizon, and conviction. Here is a simple framework that works extremely well:

- Strong long-term conviction: trim or sell on a weekly PINK candle. Let your winners run. Scale out in portions of 1/4, 1/3, or 1/2.

- Short-term trade or lower conviction: use the daily PINK candle as your primary signal. Scale out.

Never go all-out at once. Always scale out -- whether that's $\frac{1}{4}$, $\frac{1}{3}$, $\frac{1}{2}$, or whatever size feels comfortable and lets you stay calm.

This is my general approach:

- Conviction names → weekly & monthly PINK candles (Long-Term)
- Everything else → daily PINK candles (Short-Term)

PINK candles exist on a spectrum.

Some carry real thesis weight: short reports, bad earnings, war, tariffs, genuine fundamental deterioration. Those you respect and do not fade.

But some PINK candles have nothing behind them. Profit taking. A breather. Retail panic on fake news or obvious FUD. No structural change, just noise.

If you look at a PINK candle and feel no conviction behind it, that is your signal to validate. Come back the next morning. If price reclaims the prior close within the first hour on normal volume, the PINK was noise. If it gaps down, loses the 50 SMA, crosses the middle BB and peers confirm, the thesis can be real.

What does the Yellowish Green Trim Candle mean?

When the system detects a sharp rise followed by stalling momentum, particularly during challenging macro conditions, it flags an optional trim signal. It is actionable but not mandatory. Validate it the same way you would a BLUE or PINK candle. It can also serve as an attention signal: the system telling you to pay attention to what happens next. Stalling price can be a pause before the next leg up, so the decision to trim or hold depends on your read of the macro and your time horizon.

Your decision is not permanent. You can always add back.

What will happen on days around Earnings date?

You can expect a lot of noise around earnings. Depending on results and conference call tone, prices can make wild swings and candle colors can shift dramatically. The market's reaction to earnings data is unpredictable. What the candles can detect is sentiment prior to and after the event, which can be misleading during the event itself. Playing earnings is essentially gambling unless you have differentiated insight or strong conviction. If you want to hedge, the cleanest approach is to reduce size before the print and wait for post-earnings candle confirmation before adding back.

Can our algo candles predict the exact Bottoms and Tops?

Sometimes but typically, no. Don't worry. Not even so called Super-Traders or Market Wizards who make hundreds of millions a year have the ability to predict the exact tops and bottoms. The Statistical Model is designed to make an entry on its way up as early as possible and provide you exit alerts before a downturn. It also stops you out of false breakouts (BLUE->GREEN->PINK: False Breakout).



Monthly Smart Candles - What do they tell us?

Monthly candlestick price ranges can span widely, making them less immediately actionable than weekly or daily combinations, yet they remain useful as a broader reference point for long-term investors for Stage Analysis (Wyckoff Cycle).

A full month captures significant sentiment shifts, like those seen during tariff events, making monthly candles less ideal for short-term strategies. With each candle representing at least 20 trading days, they provide a reliable snapshot of the collective actions of millions of investors compressed into a single data point. When you have 12 such candles and one turns PINK, that is a powerful signal reflecting a wealth of decisions and sentiment distilled into one technical form.

The Premise of a Smart Candles:

- Signals represent a probability of a price move over the next several days and weeks, not necessarily the next day. It can still happen. It is about probabilities, not absolutes.
- False breakouts are part of the game. When false breakouts happen, the system will not leave you vulnerable. You will be signaled by a PINK candle or consolidation candles (Dark Red).
- For best results, combine Daily and Weekly candles to gauge momentum. Use the middle Bollinger Band on both timeframes as confirmation. Price crossing it adds weight to the directional move.

Examples of Reversals:

The easiest money is made on reversals, a BLUE candle appearing after a steep drawdown on a fundamentally strong company with real growth prospects

- \$QQQ - Iran War Deescalation (Reversal). Daily & Weekly Combined

